

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Excel file for this chapter: [excel/Ch08_Irrecoverable_Debts.xlsx](#)

1. Learning goals

By the end of this chapter you should be able to:

1. Explain what an irrecoverable debt is.
2. Write off an irrecoverable debt in the ledger.
3. Record a debt that was written off and later paid (recovered).
4. Explain why a business creates an allowance for irrecoverable debts.
5. Calculate the allowance and the increase or decrease each year.
6. Show irrecoverable debts and the allowance in the Statement of Profit or Loss and the Statement of Financial Position.

2. Key words

Term	Meaning
Trade receivables	Customers who bought goods on credit and still owe the business money.
Irrecoverable debt	A debt the business is sure it will never collect. Example: the customer is bankrupt or has disappeared.
Writing off	Removing the debt from the customer's account and treating the loss as an expense.
Debt recovered	A debt written off in the past which the customer later pays.
Allowance for irrecoverable debts	An estimate of the debts which might not be paid in the future.
Prudence	Do not overstate assets or profit. Record losses as soon as they are likely.

3. Why do irrecoverable debts happen?

Selling on credit brings more customers, but some customers will not pay.

Common reasons:

- The customer is bankrupt (has no money).
- The customer has died or cannot be found.
- The amount is too small to be worth chasing through the courts.

4. Writing off an irrecoverable debt

When you are **certain** a debt will not be paid:

Step	Debit	Credit
Write off the debt	Irrecoverable debts account	Customer's account (trade receivable)
At the year end	Statement of Profit or Loss (expense)	Irrecoverable debts account

Worked example 8.1

Kofi owes the business \$600. On 30 June 2025 Kofi is declared bankrupt. Nothing will be paid.

Journal

Date	Details	Dr \$	Cr \$
30 June 2025	Irrecoverable debts	600	
	Kofi		600
	<i>Debt written off, customer bankrupt</i>		

Kofi account

Dr		\$	Cr		\$
1 Jun	Balance b/d	600	30 Jun	Irrecoverable debts	600

Irrecoverable debts account

Dr		\$	Cr		\$
30 Jun	Kofi	600	31 Dec	Income statement (SPL)	600

Effect: profit falls by \$600. Trade receivables fall by \$600.

5. A debt written off is later recovered

Sometimes a customer pays after the debt was written off. Two steps:

Step	Debit	Credit	Why
1. Reinstate the debt	Customer's account	Irrecoverable debts recovered	Keeps a full record of the customer's history.
2. Record the cash	Bank (or Cash)	Customer's account	The customer pays.

At the year end, **irrecoverable debts recovered** is shown as **other income** in the Statement of Profit or Loss (added to gross profit).

Worked example 8.2

Last year the business wrote off \$300 owed by Lina. This year Lina pays the \$300 by cheque.

Details	Dr \$	Cr \$
Lina	300	
Irrecoverable debts recovered		300
Bank	300	
Lina		300

Effect: profit rises by \$300. Bank rises by \$300.

6. Allowance for irrecoverable debts

6.1 What is it?

At the year end, the business does not know which customers will fail to pay. It knows from experience that **some** will not pay. So it makes an **estimate** and keeps it in an account called **Allowance for irrecoverable debts**.

- It is usually a **percentage of trade receivables**. Example: 5% of trade receivables.
- Always write off known irrecoverable debts **first**, then calculate the allowance on the balance left.

6.2 Why create it?

- **Prudence:** it stops the business showing trade receivables at a value higher than it will collect.
- **Accruals (matching):** the expected loss is charged in the same year as the credit sales that caused it.
- It gives a **true and fair** value of trade receivables in the Statement of Financial Position.

6.3 Irrecoverable debt vs allowance

Irrecoverable debt	Allowance for irrecoverable debts
Certain loss	Estimated (possible) loss
Linked to a named customer	Not linked to any one customer
Customer account is closed (credited)	Customer accounts do not change
Full amount is an expense	Only the increase (or decrease) goes to SPL

7. Recording the allowance

Only the **change** in the allowance goes to the Statement of Profit or Loss.

Situation	Debit	Credit	SPL effect
Creating the allowance (first year)	Statement of Profit or Loss	Allowance for irrecoverable debts	Expense (full amount)
Increase in allowance	Statement of Profit or Loss	Allowance for irrecoverable debts	Expense (increase only)
Decrease in allowance	Allowance for irrecoverable debts	Statement of Profit or Loss	Income (decrease only)

Three-step method

1. Required allowance = trade receivables (after write-offs) x percentage.
2. Change = required allowance at the end of the year minus the allowance brought forward.
3. Positive change = increase = expense. Negative change = decrease = income.

Worked example 8.3

A business keeps an allowance of **5%** of trade receivables. Year end is 31 December.

	2023	2024	2025
Trade receivables (after write-offs)	20,000	26,000	18,000
Required allowance (5%)	1,000	1,300	900
Allowance brought forward	0	1,000	1,300
Change	+1,000	+300	(400)
SPL treatment	Expense 1,000	Expense 300	Income 400
Net trade receivables in SFP	19,000	24,700	17,100

Allowance for irrecoverable debts account

Dr		\$	Cr		\$
2023 Dec 31	Balance c/d	1,000	2023 Dec 31	Income statement	1,000
2024 Dec 31	Balance c/d	1,300	2024 Jan 1	Balance b/d	1,000
			2024 Dec 31	Income statement	300
		1,300			1,300
2025 Dec 31	Income statement	400	2025 Jan 1	Balance b/d	1,300
2025 Dec 31	Balance c/d	900			
		1,300			1,300
			2026 Jan 1	Balance b/d	900

Note: the allowance has a **credit** balance. It reduces an asset.

8. Showing it in the financial statements

Statement of Profit or Loss (extract), year ended 31 December 2025

	\$	\$
Gross profit		40,000
Add: Decrease in allowance for irrecoverable debts		400
Add: Irrecoverable debts recovered		300
		40,700
Less expenses: Irrecoverable debts	600	

(If the allowance had **increased**, the increase would be listed under **expenses** instead.)

Statement of Financial Position (extract) at 31 December 2025

Current assets	\$	\$
Trade receivables	18,000	
Less: Allowance for irrecoverable debts	900	17,100

9. Common mistakes

- Charging the **whole** allowance to the SPL every year. Charge only the **change**.
- Calculating the percentage **before** writing off the irrecoverable debts.
- Adding the allowance to receivables. You **subtract** it.
- Forgetting that a decrease in the allowance is **income**.

10. Quick summary

- Irrecoverable debt: certain loss. Dr Irrecoverable debts, Cr Customer.
- Recovered debt: reinstate the debt, then record the cash. It is income.
- Allowance: an estimate based on prudence. Only the change hits profit.
- SFP shows trade receivables **less** the allowance under current assets.

11. Check yourself

1. A customer owing \$450 is bankrupt. Give the double entry.
2. Trade receivables are \$32,000 and the allowance is to be 2.5%. The allowance brought forward is \$900. What goes to the SPL?
3. Name two accounting concepts which support the allowance.

Answers: see `model-questions/Answer_Key.md`, Chapter 8 section.